

Above 7,500

S&P first close above 7,500 (+0.78%). Dow retakes 50,000. Crypto Clarity Act clears Senate hurdle. Powell's last day Friday.

THE SESSION

The S&P 500 closed above 7,500 for the first time, settling at 7,502.04 on a 0.78% gain. The Dow added 0.75% to 50,063.45, reclaiming the 50,000 handle on the back of Cisco's blow-out report and a broader AI infrastructure bid. The Nasdaq led at +0.88%. The day delivered three storylines in parallel: the chip rally continued and broadened, the crypto Clarity Act cleared its Senate Banking Committee hurdle 15-9, and the Federal Reserve began a formal regime change with Governor Miran's resignation clearing the seat for incoming Chair Kevin Warsh.

Today's tape confirmed what Wednesday's narrow breadth concern was telegraphing. Growth led, dividend defensives lagged modestly, and the leadership stayed concentrated in semiconductors, AI infrastructure, and crypto-adjacent names. The Trump-Xi summit's chip export thaw continued to set the table: TSM raised its 2026 revenue growth outlook to over 30% and revised its long-term semiconductor market forecast to \$1.5 trillion by 2030, sending the stock up 4.48%. NVDA added 4.39% with the May 20 earnings print now five sessions away. Cisco's 13% surge on a \$9 billion AI infrastructure guide (up from \$5 billion) gave the "networking supercycle" narrative its loudest validation yet.

April retail sales rose 0.5%, in line with expectations and the third straight monthly increase. The headline masks a tightening consumer: gasoline accounted for a meaningful share of the gain at \$4.53 per gallon, while department stores fell 3.2% and clothing dropped 1.5%. The University of Michigan May sentiment reading hit a record low. The Fed's response calculus matters more now than usual: Warsh is sworn in Friday, replacing Powell after eight years. Miran's resignation letter cleared the board seat. Futures markets are pricing elevated odds of a rate hike at the June 16-17 FOMC.

IOWN Tactical: 7,500 is a level, not a thesis. The S&P remains comfortably above the 200-day, the chip rally still defines leadership, and the deployment triggers (-20%, -25%, -30%

from ATH) remain dormant. The work is research and patience, not action.

IOWN HOLDINGS: NOTABLE MOVERS

WINNERS

HOOD +5.15%

GROWTH PORTFOLIO

Surged with the broader crypto-adjacent complex after the Senate Banking Committee voted 15-9 to advance the Digital Asset Market Clarity Act to the full Senate floor.

COIN +5.06%

GROWTH PORTFOLIO

Brian Armstrong publicly endorsed the compromise version of the Clarity Act ahead of the committee vote. Armstrong called the bill a "hard-fought compromise" that could reshape how Americans interact with crypto and banking.

TSM +4.48%

GROWTH PORTFOLIO

Raised 2026 revenue growth outlook to above 30% and revised the global semiconductor market forecast to \$1.5 trillion by 2030 (up from \$1 trillion). The Trump-Xi chip export approval adds incremental demand to a fab already sold out through 2027.

NVDA +4.39%

GROWTH PORTFOLIO

Closed at \$235.75, approaching the \$6 trillion market-cap threshold. May 20 earnings is now the dominant catalyst; the H200 sales approval to Alibaba and Tencent during the Beijing summit reopened a \$50+ billion addressable market.

MARA +4.24%

GROWTH PORTFOLIO

Crypto miners rallied with COIN and HOOD on the Clarity Act passage. IBIT closed +2.33% and ETHA +2.00%.

FTNT +3.54%

GROWTH PORTFOLIO

AI-native cybersecurity continues to capture infrastructure spend; sector tailwind extended from Wednesday's Cisco-led networking bid.

CAT +1.99%

DIVIDEND STRATEGY

Dow components led the index back above 50,000. Caterpillar was among the day's top blue-chip contributors as infrastructure and machinery names firmed.

ABT +1.28%

DIVIDEND STRATEGY

Defensive healthcare anchored the dividend sleeve's positive contributors on a day when the strategy as a whole closed roughly flat.

DECLINERS

QCOM -6.14%

DIVIDEND STRATEGY

JPMorgan, BNP Paribas, UBS, and Barclays all cut targets following last week's soft Q3 guidance (EPS \$2.10-\$2.30 vs. \$2.43 consensus). The stock had run from roughly \$136 in late April to the \$230s by Monday before the reset; today's move is profit-taking on top of analyst capitulation.

GPC -1.70%

DIVIDEND STRATEGY

Auto parts retailers softened on the retail sales detail: car dealerships fell 0.5% and broader discretionary categories weakened as gas prices absorbed consumer budgets.

AEM -1.69%

GROWTH PORTFOLIO

Gold dropped 1.00% to \$4,659 on the risk-on tape. Miners typically amplify spot moves; AEM's decline tracked the metal.

DGX -1.52%

DIVIDEND STRATEGY

Healthcare diagnostics consolidated after recent strength; no company-specific news.

CRDO -2.55%

GROWTH PORTFOLIO

Continued profit-taking after the post-Marvell-news run from the prior week. The networking interconnect thesis remains intact; the move is positioning, not fundamentals.

HOLDINGS NEWS

QCOM downgrade cycle. Following last week's weak Q3 revenue and EPS guide, JPMorgan moved the stock to Neutral with a \$140 target (cut from \$185). BNP Paribas cut to Neutral at \$120. UBS trimmed to \$150. Barclays reinstated coverage at Underweight with a \$130 target. Memory pricing pressure and a low-double-digit decline in 2026 smartphone shipments are the cited drivers. The dividend, cash flow profile, and 23-year dividend growth streak remain intact; the catalyst is timing of automotive and IoT scale-up.

NVDA May 20 earnings. Five trading sessions out. Consensus calls for Q1 FY27 revenue of approximately \$78 billion (Jensen Huang's guidance), with networking the wildcard after Cisco's outsized AI infrastructure print today. Bull case requires continued data-center momentum plus material color on Rubin platform timing.

TSM long-term outlook. Raised global semiconductor market forecast to \$1.5 trillion by 2030. 2-nanometer capacity projected at 70% CAGR through 2028. Advanced packaging sold out through 2027. The fab manufactures NVDA, AMD, and Broadcom silicon — the entire AI hardware stack flows through this one foundry.

Fed regime change. Powell's eight-year chairmanship ends Friday. Kevin Warsh, confirmed 54-45 this week, will be sworn in shortly thereafter. Warsh has publicly called for "regime change" at the Fed and argued that benchmark rates can be lower — though futures markets are pricing elevated odds of a rate hike at the June 16-17 meeting given the 3.8% April CPI print. Powell remains on the Board until January 2028.

PORTFOLIO PERFORMANCE

DIVIDEND STRATEGY

X TRAIL

-0.09%

vs. DVY +0.30% | SPY +0.79%

GROWTH PORTFOLIO

X TRAIL

+1.10%

vs. IUSG +1.14%

YEAR-TO-DATE

Dividend +12.45% vs DVY +8.04% / SPY +9.72%

Growth +12.57% vs IUSG +12.92%